

Chapter 4

Business Combination

A series of horizontal bars in teal and light blue colors, stacked and offset to the right, creating a modern, layered effect.

Learning Goals

After studying this chapter, students will be able to understand:

- The concept of business combination and its process
- Merits and demerits of Business combination
- Various types of Business Combination and influencing Factors

Chapter Contents

- Definition of BC
- Emergence
- Causes
- Advantages of BC
- Disadvantages of BC
- Techniques of BC
- Factors influences
- Process of BC
- Advantages and Disadvantages of different types of BC

Definition of Business Combination

- Business combination is a blending of two or more existing undertakings into one undertaking, the shareholders of each blending company becoming substantially the shareholders in the company which is to carry on the blended undertaking.
- Similar two or more businesses can form a group of businesses to face the uncertainty to achieve goals

Emergence of Various techniques of business combinations

- **From 1897 - 1904:** During this period merger & acquisition took place between the firms like electricity, railways, etc.
- Most of the mergers during this period were horizontal in nature and occurred between the steel, metal and construction industries.

From 1903 - 1905

- Most of the mergers & acquisition which took place during the first phase were considered as **unsuccessful** for not being efficient enough to attain the required competence.
- The crash was stimulated by the **decelerating** of the world's financial system in 1903, which was followed by a **stock market collapse** in 1904.
- During this phase the **authorized** structure was not encouraging either.

From 1916 - 1940

- The mergers and acquisitions process was **triggered** (activate) by the financial boom which was seen after the World War I.
- The government strategies laid in 1920s made the corporate ambiance (atmosphere) supportive enough for firms to work in harmony.
- Financial institutions like government and private banks also played a significant part in aiding the mergers and acquisitions process.

From 1965 - 1970

- Most of the mergers from 1965-70 were horizontal mergers and were triggered by elevating stock and interest rates, and stern implementation of **anti-trust rules** and regulations.
- During this phase the bidding companies were small in size and fiscal strength than the target companies.
- These kinds of mergers were sponsored by equities, thereby eliminating the roles of banks which they actively played in investment activities earlier.



From 1981 - 1989

- This phase saw the **acquisition** of the companies which were much bigger in size as compared to the firms in previous phases.
- Industries like oil and gas, pharmaceuticals, banking, aviation combined their business with their national and international counterparts.

From 1992 till present

- This period was stimulated by **globalization**, upsurge in stock market boom and **deregulation** policies.
- Major mergers were seen taking place between **telecom and banking** giants out of which most were sponsored by equities.
- Therefore, we can conclude that as long as business entities exist and the economic factors are favorable, the trend of mergers and acquisitions will continue.

Causes of Business combination

- Wasteful competition
- Economics of large-scale operation
- Desire for monopoly power
- Business cycles
- Tariffs
- Individual organizing ability and ambition
- Respect for large size business
- Rationalization

Advantages of Business Combination

- Increase in Capital
- Elimination of Competition
- Saving in Expenses
- Controls over Production
- Large Scale Marketing
- Experts Services
- Research Work
- Use of Modern Technology
- Stability
- Division of Labor

Disadvantages of Business Combination

- Creation of Monopoly
- Concentration of Wealth
- Not Acceptable
- Changes of Friction
- No Personal Contact
- Costly Management
- Over Capitalization
- Misuse of Funds
- National Interest Ignored
- Speculation

Types of combinations

- **Horizontal combination:**
- A horizontal combination comes into being when units carrying on the same trade or pursuing the same productive activity join together with common end in view.
- Examples of such combinations are provided by the Sugar Syndicate and Association of cement companies in Bangladesh

Horizontal combination

Sugar	Sugar	Sugar	Sugar	Market
Mill	Mill	Mill	Mill	Total
1	2	3	4	

2. Vertical combination

- Vertical combination is the combination of firms in successive stages of the same industry. It implies the integration of various processes of an industry.

1	Cotton	Ginning
2	Cotton	Spinning
3	Cotton	Weaving
4	Cotton	Market

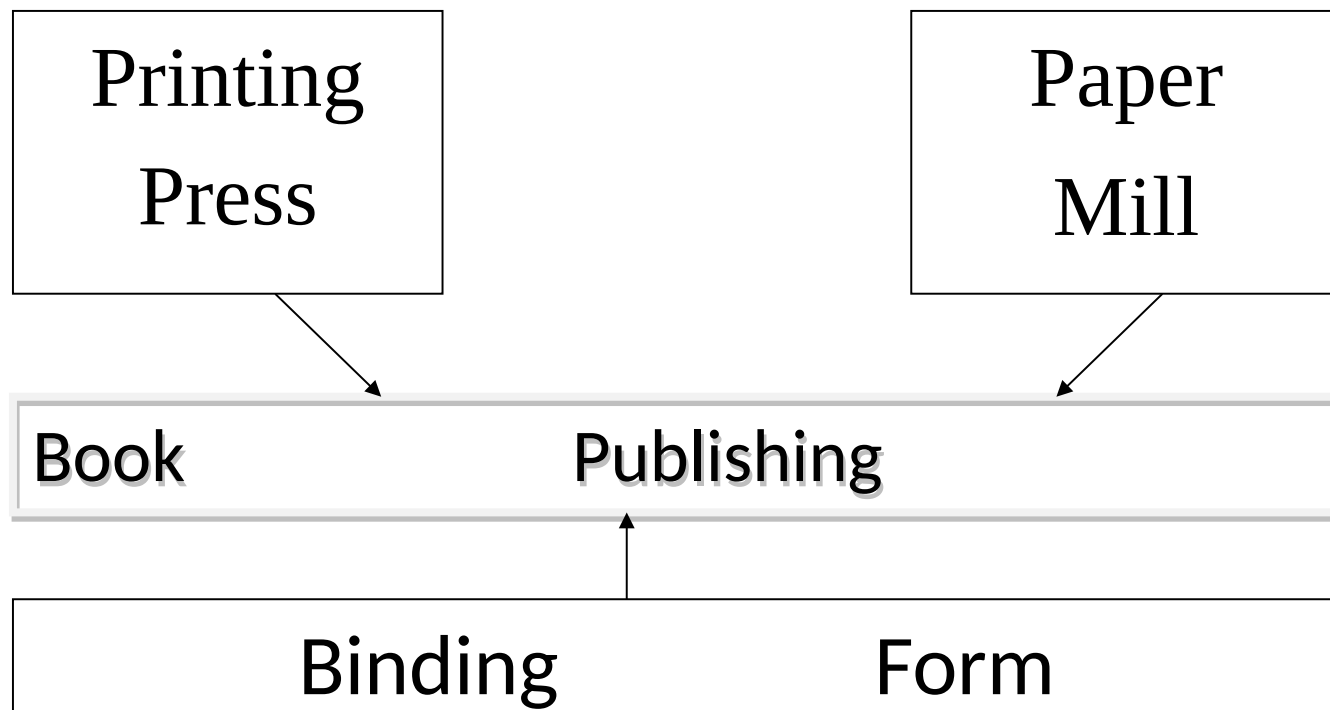
Lateral or Allied Combination

- Lateral integration refers to the combination of those firms which manufacture different kinds of products though they are 'allied in some way'.
- It can be of two kinds
 - i) convergent lateral integration and
 - ii) divergent lateral integration.

Lateral or Allied Combination

- **Convergent lateral combination** comes into existence when different firms join together to supply goods and services to help the functioning of one major undertaking.
- For instance a book publishing may join with other units producing paper, doing printing work and providing book binding services.

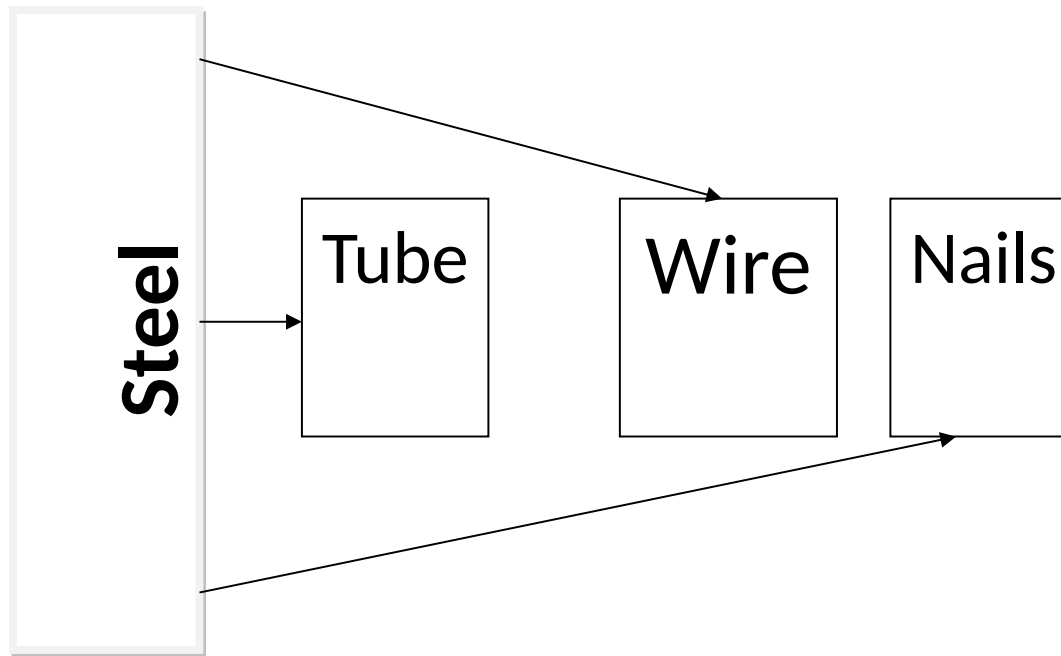
Convergent lateral combination



Divergent lateral integration or combination

- When a major firm supplies its product to the other combining firms which use it as their raw material.
- Thus, the product of one firm becomes the raw material of many other firms.
- For example, ship breaking output will use in the Steel mill as r/m.

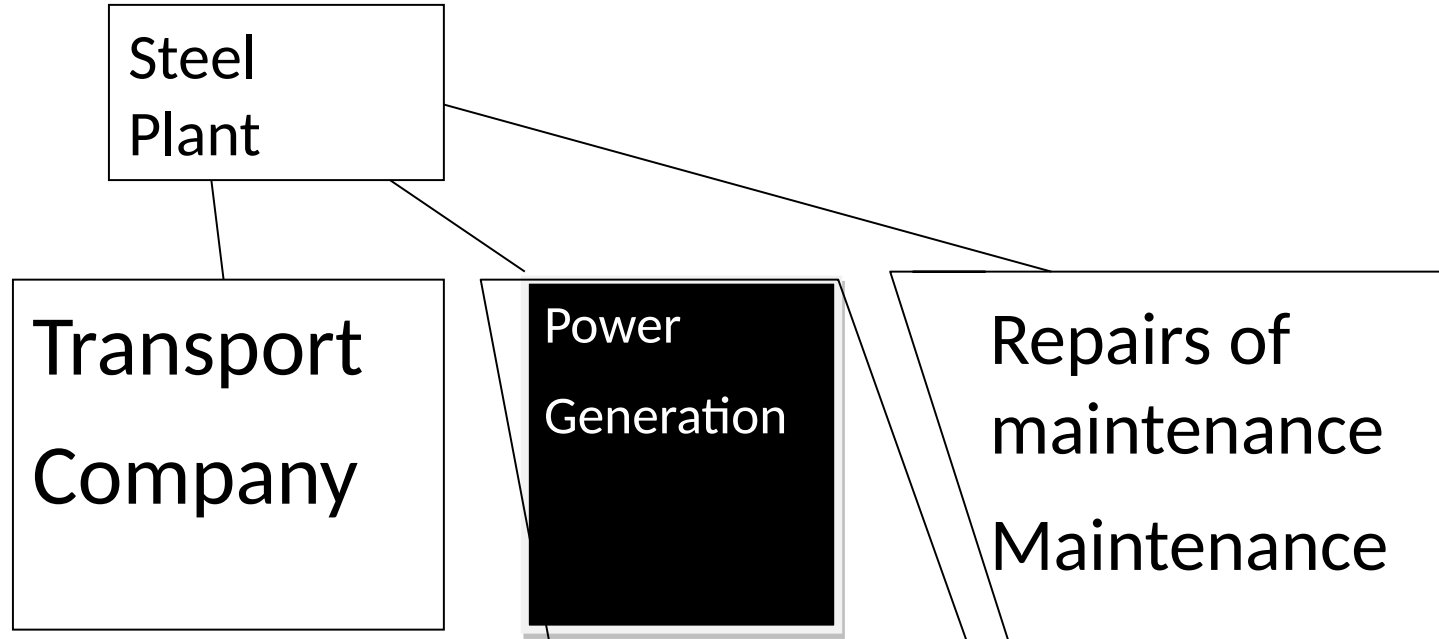
Divergent lateral integration or combination



Diagonal combination

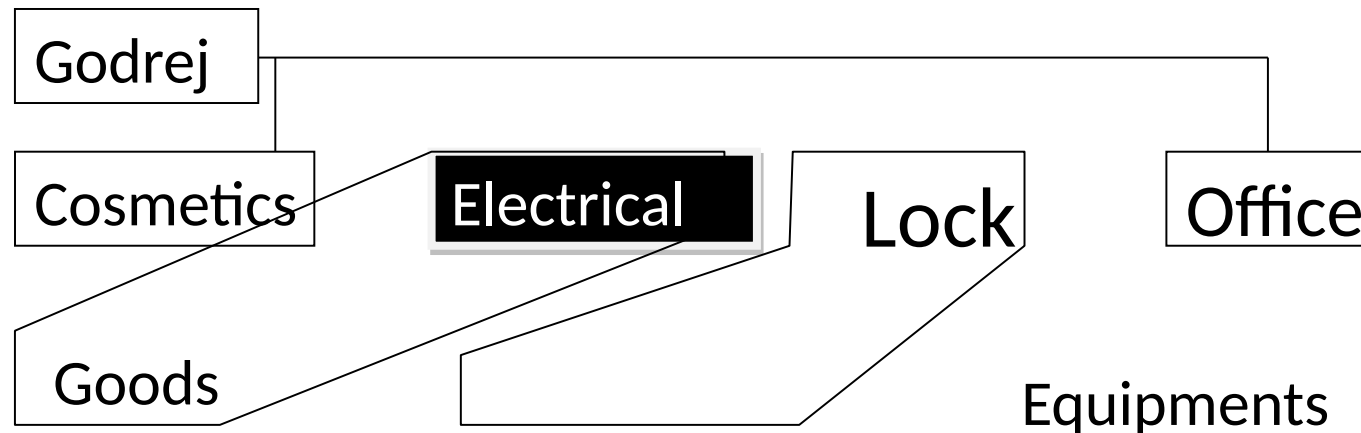
- It is also called 'Service' integration. Diagonal integration comes into existence when a unit providing auxiliary goods and services to an industry is combined with a unit engaged in the main line of production, within the organization.

Diagonal combination



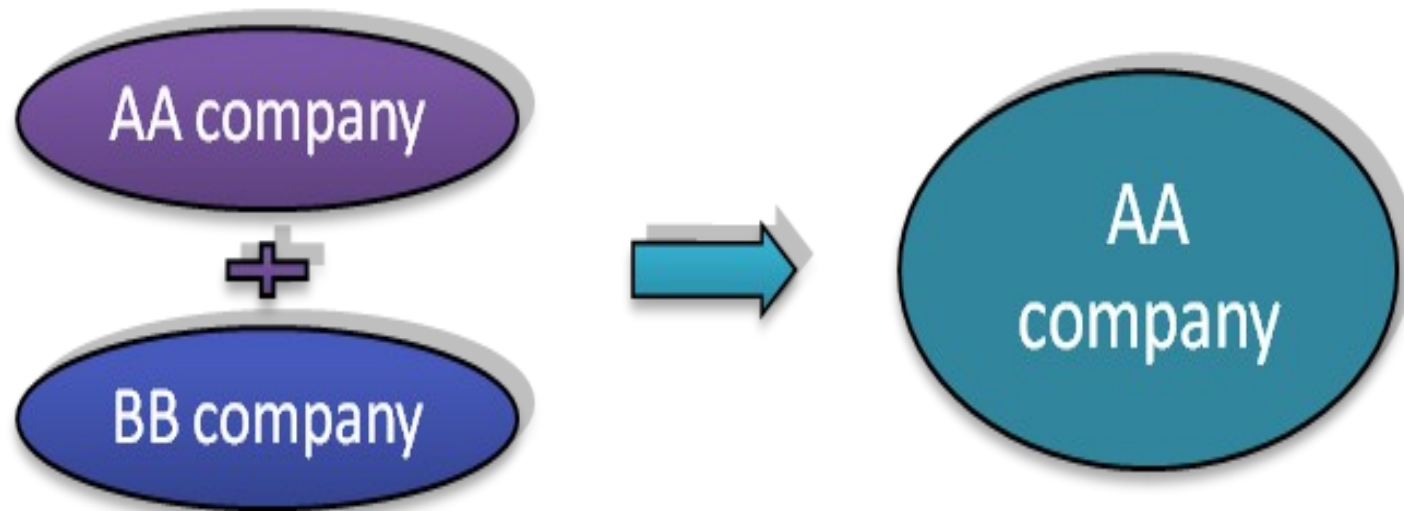
Circular combination

- When firms belonging to different industries and producing altogether different products combine together under the banner of a central agency, it is referred to as a mixed or circular combination.



Techniques of Business combination

- **Merger**
- Merger is a combination that mainly refers to asset liquidation of the acquired.
- After a merger, the original companies may lose their separate identities and form a new company, or one company may absorb the other.



Example of MERGER

Company 'A' is an
Acquiring Company.

Company 'B' is an
Acquired Company.

MERGER

MERGER of Company 'A' and Company 'B'.
This Merger retains the name of an Acquiring
Company. Here, Acquiring Company is 'A'.

Conglomerate

- A merger between firms that are involved in totally unrelated business activities.
- There are two types of conglomerate mergers: pure and mixed.
- Pure conglomerate mergers involve firms with nothing in common, while mixed conglomerate mergers involve firms that are looking for product extensions or market extensions. **Example:** A leading manufacturer of athletic shoes merges with a soft drink firm.

Example of a Conglomerate in Bangladesh

BEXIMCO Group

Industries it operates in:

Textiles and garments

Pharmaceuticals

Real estate

Energy (oil, gas, and power)

Information technology

Consumer products

Other examples:

Akij Group – tobacco, textiles, cement, food & beverage, ceramics

PRAN-RFL Group – food and beverages, plastics, electronics, agriculture

Horizontal Merger

- A merger occurring between companies in the same industry.
- Horizontal merger is a business consolidation that occurs between firms who operate in the same space, often as competitors offering the same good or service.
- Horizontal mergers are common in industries with fewer firms, as competition tends to be higher and the synergies and potential gains in market share are much greater for merging firms in such an industry.
- **Example:** A merger between Coca-Cola and the Pepsi beverage division.

Market Extension Mergers

- A market extension merger takes place between two companies that deal in the same products but in separate markets.
- The main purpose of the market extension merger is to make sure that the merging companies can get access to a bigger market and that ensures a bigger client base.

Product Extension Mergers

- A product extension merger takes place between two business organizations that deal in products that are related to each other and operate in the same market.
- The product extension merger allows the merging companies to group together their products and get access to a bigger set of consumers. This ensures that they earn higher profits.

Vertical Merger

- A merger between two companies producing different goods or services for one specific finished product.
- A vertical merger occurs when two or more firms, operating at different levels within an industry's supply chain, merge operations.
- Most often the logic behind the merger is to increase synergies created by merging firms that would be more efficient operating as one.

Vertical merger

- A notable example of a vertical merger in Bangladesh is the 2016 merger between Robi Axiata and Airtel Bangladesh. This strategic move combined Robi Axiata, a telecommunications service provider, with Airtel Bangladesh, creating a single entity that enhanced their control over various stages of the telecommunications supply chain. By integrating operations, the merger allowed for improved network infrastructure, streamlined services, and a more robust market presence in the country's competitive telecom sector.

Reverse merge

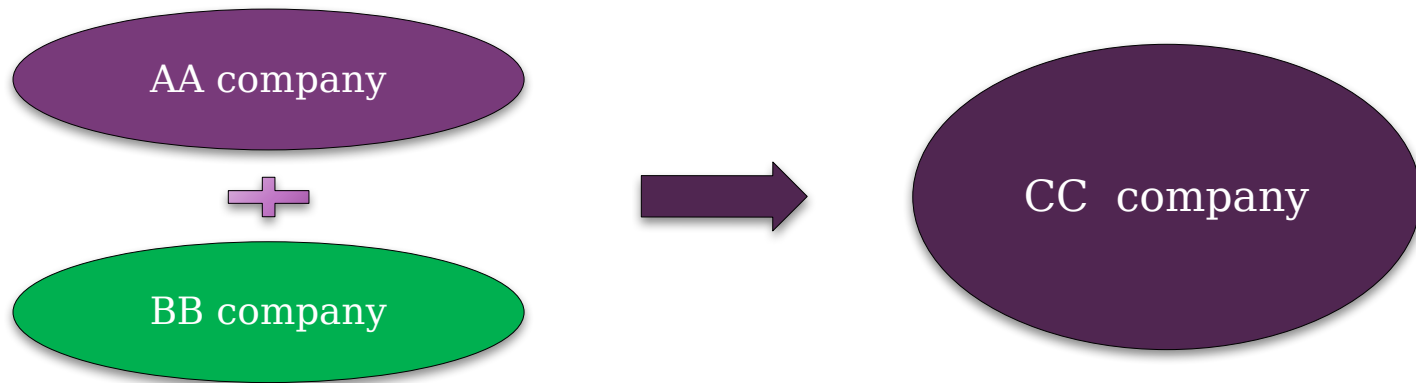
- Occurs when a privately held company acquires a publicly traded, but usually dormant, company.
- By doing so, the private company becomes public.

Acquisition

- An acquisition is a kind of business combination that refers to purchase of a company's asset.
- In this type one company that is more stable and financially strong in the market buys the assets of the weaker company and integrates all the operations in its own firm.
- The stronger company buys the assets of the target company and then takes over the company with all its assets and liabilities.
- This type is much similar to a merger but is known to be a forceful combination.

Consolidation

- Consolidation is a kind of association in which two or more companies of same size come together to form a new identity in the market.
- All the combined companies share equal shares, assets, and liabilities along with their resources, talent, technology, and other essentials.
- The combined companies lose their name and identity and are finally known by the new structure and name.



Takeover

- Takeover is a form of acquisition usually followed by a merger. Takeover can be hostile or friendly.
- The public tender offer is a means of acquiring a target firm against the wishes of management.
- In a friendly takeover the acquiring firm negotiates with the targeted company.

Types of Takeover

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graph TD; A[Types of Takeover] --> B[Legal Context]; A --> C[Business Context]; B --> D[Friendly Takeover]; B --> E[Hostile Takeover]; C --> F[Horizontal Takeover]; C --> G[Vertical Takeover]; C --> H[Conglomerate Takeover];
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Legal Context

**Friendly
Takeover**

**Hostile
Takeover**

Business Context

**Horizontal
Takeover**

**Vertical
Takeover**

**Conglomerate
Takeover**

Thanks to join with us!

Question so far?